Investment Memo

Erasca, Inc. (NASDAQ: ERAS) | Long | PT: $15.10 | May 2026

BBI
Bruin Biotech Investing

Snapshot

Ticker	**ERAS**
Share Price	**$11.33**
Market Cap	**$3.2B**
Enterprise Value	**~$2.8B**
Cash Runway	**Mid-2028**
Price Target	**$15.10**
Upside	**33%**

Management

CEO	**Jonathan Lim, M.D.**
CFO	**David Chacko, M.D.**
CMO	**Shannon Morris, M.D.**

Catalysts

TBD	**Daraxonrasib 1L approval**
Q2 2027	**Ph 2 readout (both)**
Ongoing	**RVMD patent litigation**
Ongoing	**BD / M&A**

Scenarios (12-month)

Bull (20%)	**$28**
Base (55%)	**$15**
Bear (25%)	**$5**
Prob.-weighted	**$15.10**

Key Risks

- **Clinical:** Pneumonitis death at 24 mg in PDAC; dose still being refined.
- **Legal:** RVMD patent and trade-secret suit; likely royalty settlement.
- **Regulatory:** FDA may require randomized data once daraxonrasib is approved.
- **Commercial:** ~3 years behind RVMD caps peak share.
- **Concentration:** ERAS-0015 is ~83% of company value.

Investment Thesis

We recommend a **LONG** position in Erasca with a 12-month price target of **$15.10**, implying **33%** upside. The market is pricing ERAS-0015 off April's ~48% sell-off on a single patient death and RVMD's lawsuit, not on Phase 1 data that suggest best-in-class pan-RAS potential.

- **Data leads the class:** Phase 1 ORR of 62% in NSCLC and 50% in PDAC vs. ~40% and ~30% for daraxonrasib at the same stage, with ~8–10x greater in-vitro potency.
- **Mechanism and market are de-risked:** RVMD's Phase 3 showed 13.2 months median OS in PDAC vs. 6.7 months on chemo, earning a 2L approval and validating a $5B+ market.
- **Funded, with an M&A floor:** $409M in cash funds operations past the Q2 2027 readout without dilution, and Merck's reported $32B offer for RVMD anchors pan-RAS asset value.

Company & Pipeline

Erasca is a San Diego-based, Phase 1 precision oncology biotech focused on RAS/MAPK-driven cancers (PDAC, NSCLC, CRC). Its MAPKlamp™ platform targets multiple nodes of the RAS pathway to enable combination therapy; it holds worldwide rights to all three programs.

- **ERAS-0015:** Pan-RAS molecular glue (CypA tri-complex binding active GTP-RAS) for RAS-mutant solid tumors; Phase 1 (AURORAS-1). Covers G12X, G13X and Q61X; 62% / 50% ORR in NSCLC / PDAC.
- **ERAS-4001:** Pan-KRAS small molecule for KRAS-mutant solid tumors; Phase 1 (BOREALIS-1). A second shot on goal, worth ~$2.47/share in our model.

Market & Competition

RAS mutations drive many colorectal, lung and pancreatic cancers. RVMD's daraxonrasib is now approved in 2L PDAC, with 1L still in trials, and sits ~3 years ahead with a heavy GI and rash burden; Erasca is the only other pan-RAS player, while most rivals hit only KRAS G12C (~12% of KRAS mutations).

Company / Asset	Stage	Key Difference
Erasca – ERAS-0015	Phase 1	Pan-RAS; 62% / 50% ORR; ~8–10x potency
RVMD – Daraxonrasib	Approved (2L)	Pan-RAS; 1L in trials; 81% rash
Eli Lilly – Olomorasib	Phase 3	KRAS G12C only (~12% of KRAS)
AZ / Jacobio – JAB-23E73	Phase 1/2	Pan-KRAS; no NRAS / HRAS coverage

Bottom Line

The April sell-off leaves an asymmetric setup in a validated mechanism with potentially superior data. The Q2 2027 Phase 2 readout must confirm the efficacy edge with manageable pneumonitis. Our **$15.10** DCF target ($12.57 ERAS-0015 + $2.47 ERAS-4001) matches our probability-weighted scenarios (bull $28 / base $15 / bear $5).